

Activity: Evaluate a Mutual Fund

Select any mutual fund you are interested in learning more about. Using Yahoo Finance Research the investment option.

What is the name of the mutual fund and its ticker symbol:

Vanguard S&P 500 ETF (VOO)

Why did you pick this mutual fund?

It's an S&P 500 Index Fund, and my partner knew something about it.

What is the investment objectives and strategy of this fund?

The strategy is to mimic the S&P 500 index, holding each stock in approximately the same proportion as its weighting in the index. It's approach is designed to track the performance of the S&P 500 index.

Is there any recent news that may impact this fund?

Not negatively, most of the news is praising this fund.

How does Morningstar classify this fund in their style box (typically this is found in "profile" on Yahoo finance?)

They categorize it as a large blend.

Evaluate Performance:

Compare the performance of your mutual fund against the appropriate benchmark. A Benchmark is a standard index or a group of securities representing the market or sector.

What is the benchmark for this fund?

Yahoo's category 😊

Compare returns for the fund you are researching versus the benchmark:

	Fund	Benchmark
YTD:	2.78	3.35
1-Month	2.78	3.35
1-Year	26.34	23.48
3-Year	11.87	10.44
5-Year	15.12	13.71
10 Year	13.72	12.28

In general, has your fund underperformed or outperformed the benchmark? Overperformed, on average.

Review Expense Ratios

What is the expense ratio for your fund? (express in terms of %). This is typically found on the summary tab of information. **0.03**

The expense ratio of a fund represents the annual fees and expenses charged by the fund company for managing the fund. A lower expense ratio is preferred as a higher expense ratio can have negative implications. Lower expense ratios leave more of the fund's returns available to investors.

Things to keep in mind about expense ratios:

- Larger funds may benefit from economies of scale.
- Actively managed funds in niche markets may have higher expense ratios due to research, analysis, and trading
- Consider fund performance in addition to the expense ratio. A low expense ratio with low performance may not be better than a higher expense ratio with superior performance.

Thoughts related to expense ratio:

This index fund is very large, so the expense ratio is very small as a result. It also seems to overperform when compared to categories in Yahoo Finance, so it most likely a good ratio.

Study the Fund's History – What do you notice?

How does the fund perform during different market conditions (bear vs bull)? Is it resilient during market downturns? Does it capture a significant portion of the upswings?

Performs well no matter the market condition, staying relatively constant throughout different time periods.

Does the investment objectives and strategy of the fund align with your investment philosophy?

Yes, I believe in following the trends in the best performing companies, believing this to be the way to minimize risk while increasing gain.

Strength of the portfolio

How diversified is the fund? What is its asset allocation? (portion in stocks, bonds, cash, alternative investments, etc.)

The fund is non-diversified. 99.86% in stocks, 00.00% in bonds, rest is not listed.

Based on fund holdings, is there exposure to multiple sectors and industries or is there some concentration risk?

Yes, it is exposed to mostly the tech sector but has over 1% in over 10 sectors as well.

Does this align with your investment objectives?

Yes, having diverse sectors is for me as it reduces risk of one sector having a bad year and ruining the mutual fund.

How would you assess the quality of holdings? Are the companies included in the fund strong? Do they have solid financial results, competitive advantages, growth potential?

In Class Activity - DRAFT

Yes, the companies holding VOO are very strong, including AAPL, MSFT, and NVDA. These stocks continue to grow due to new developments in technology, and all have their own respective competitive advantages in the market.

What's the Portfolio Turnover Ratio? (PTR is the frequency with which a mutual fund buys and sells securities.)

2.2%

In theory, how might turnover in a mutual fund impact the fund's returns?

A higher turnover rate may reduce overall profit for investors if not done correctly. But could be a positive if a fund manager successfully identifies and capitalizes on short-term opportunities.

What is the maturity period of the fund (if it has fixed income/bond components)?

N/A

Evaluate Risk:

What are the risk-adjusted returns?

1.06

What is the fund's Standard Deviation and what does it mean?:

17.06, measure of average variance from mean return

What is the fund's Beta and what does it mean?:

1, how volatile it is

What is the fund's Sharpe Ratio and what does it mean?:

0.5

What other measures of risk are provided? What do they mean?

R-squared – linearity, Treynor ratio - Reward-to-volatility ratio

Is there a related or similar fund that you might compare/consider when deciding whether to invest in this fund?

GOLD, because I'm interested in something so consistent.